
AI Infrastructure

The Picks & Shovels of the AI Capex Supercycle

A six-stock institutional portfolio capturing storage, optical networking and semiconductor test exposure to the 2026 hyperscaler capex cycle.

USD 200K

Notional Mandate

6

Coverage Names

+15%

12-mo Target Return

1.7×

Portfolio Beta

Initiating Coverage — AI Infrastructure

Investment Thesis

We initiate coverage of the AI infrastructure value chain with a constructive bias. Hyperscaler capex is set to exceed USD 360bn in 2026 (+34% YoY), creating structural demand for the four critical bottlenecks of the AI build-out: mass-capacity storage, high-density NAND, optical interconnect and advanced semiconductor test. We favour capital-disciplined incumbents over headline GPU exposure: better risk/reward, less consensus crowding, and earlier inflection in the earnings revision cycle.

BUY 4 / HOLD 2

Rating Distribution

+13%

Weighted Implied Upside

12 mo

Investment Horizon

8.6×

Portfolio FY26 EV/EBITDA

Coverage Summary

Ticker	Rating	TP	Upside
WDC	BUY	\$475	+18%
STX	BUY	\$680	+16%
LITE	BUY	\$980	+16%
TER	BUY	\$440	+11%
SNDK	HOLD	\$880	-6%
CIEN	HOLD	\$540	+6%

Key Takeaway

Constructive on storage (WDC, STX) and AI optical (LITE) where we see the strongest earnings revision dynamics. HOLD on SNDK and CIEN reflects valuation discipline rather than thesis disagreement.

Report Architecture

01

Executive Summary

Thesis, ratings, key takeaway

03

Investment Thesis

Five-pillar framework

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Growth, margins, returns benchmarking

07

Portfolio Construction

Sizing, beta, risk-adjusted allocation

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Catalysts

12-month catalyst calendar

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Synthesis & key debates

02

AI Infrastructure Industry

Market size, capex backdrop, value chain

04

Company Analysis

WDC, STX, LITE, TER, SNDK, CIEN deep dives

06

Valuation

Trading comps & DCF triangulation

08

Risk Analysis

Correlation, factor, geopolitical, cyclical

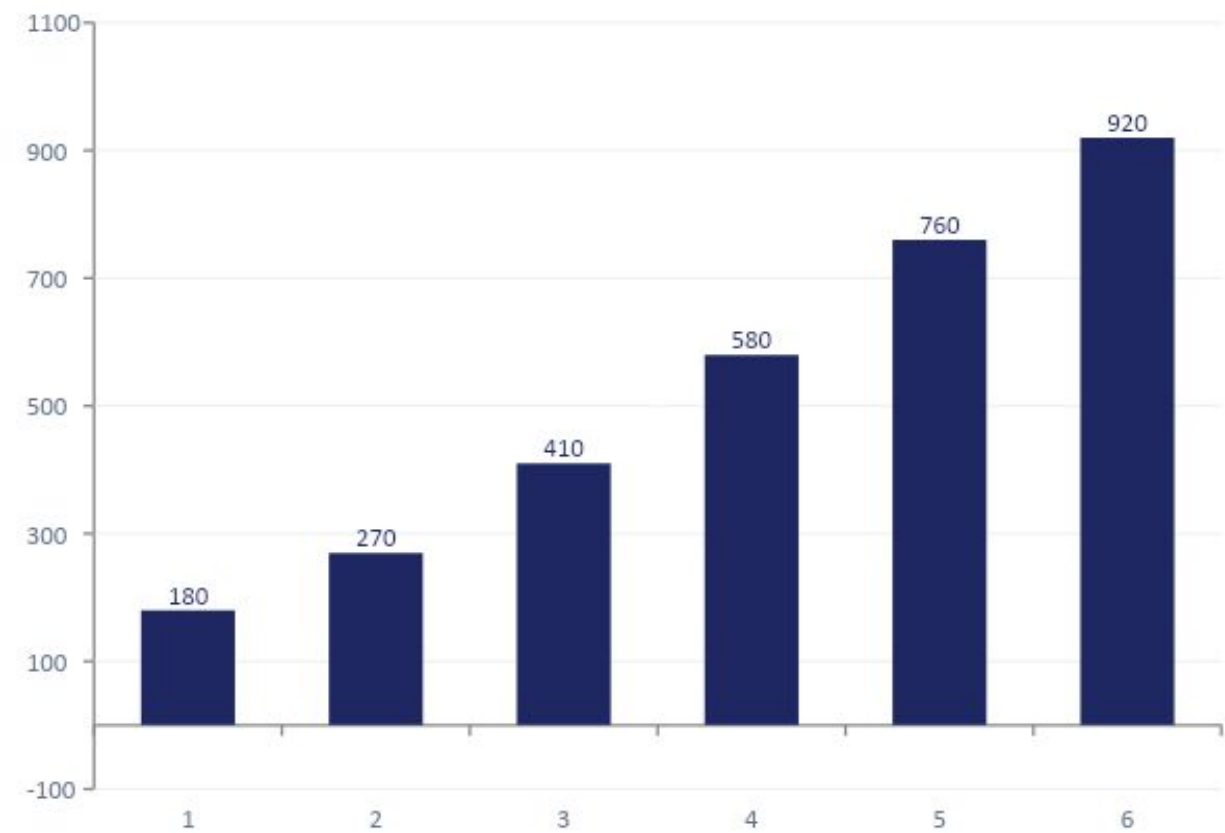
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Investment Recommendation

Final ratings & target prices

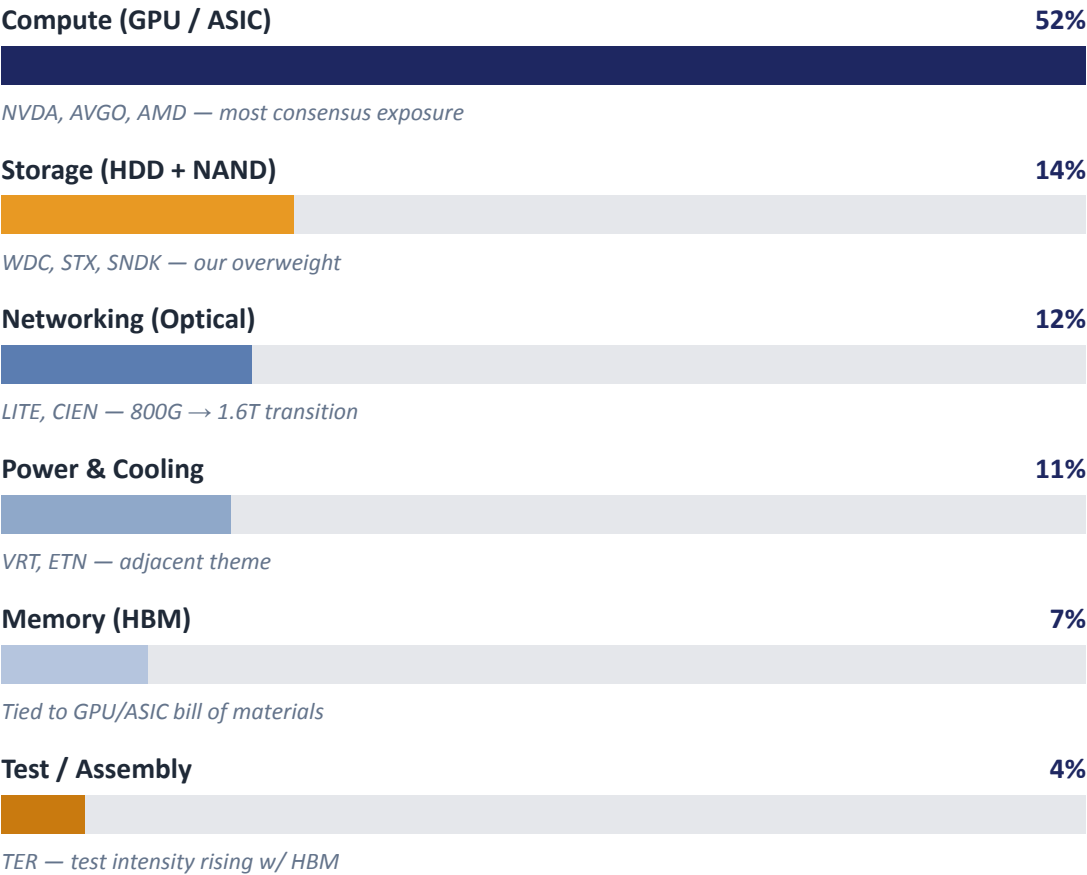
AI Infrastructure: A USD 1.2tn Build-Out

Cumulative AI Infrastructure Spend (USD bn)



Sources: Team estimates. Hyperscaler reported capex (AMZN, MSFT, GOOG, META) plus sovereign and Tier-2 cloud build-out.

Where the Money Flows — AI Capex Allocation



Hyperscaler Capex — Why It Drives Everything

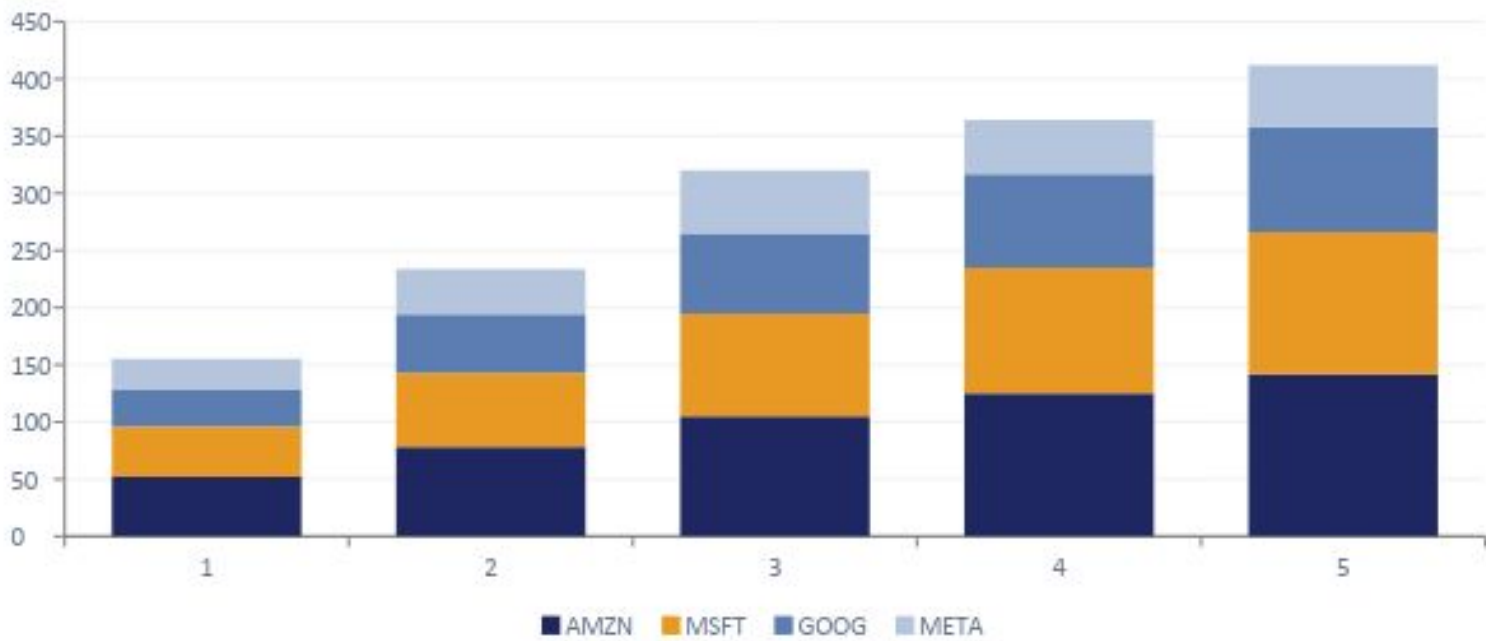
USD 364bn

2026E aggregate AI capex from
AMZN · MSFT · GOOG · META

+34% YoY / ~2.2× 2023 baseline

Largest infrastructure investment cycle since the 1990s telecom build-out.

Capex Trajectory — Top 4 Hyperscalers (USD bn)



Training scale-up

Model size doubling every ~6 months keeps GPU clusters from saturating; capex is supply-bound, not demand-bound.

Inference at scale

Inference workloads (ChatGPT, Copilot, Gemini) drive recurring infra needs; CPU/storage > GPU on the margin.

Sovereign build-out

EU, KSA, UAE, India sovereign AI capacity adds USD 80–100bn of incremental demand by 2027.

The Four Bottlenecks of the AI Stack

AI infrastructure CAGR is constrained not by GPU supply alone, but by four physical bottlenecks. Our six-name portfolio is built on this taxonomy.



Storage

HDD + NAND

Each AI cluster requires ~40 PB of warm-tier storage. HDD demand is reaccelerating to +20% YoY as nearline replaces SSD on cost. NAND contract pricing up 70%+ QoQ.

COVERAGE › WDC · STX · SNDK



Optical Networking

800G → 1.6T

Scale-out fabrics need 4× more optical transceivers than 400G generation. EMLs and DCI capacity are physically constrained — 18-month lead times in 2026.

COVERAGE › LITE · CIEN



Semiconductor Test

HBM, advanced packaging

AI accelerators require 3–5× more test-time per die. HBM stacking, chiplet/CoWoS interconnect testing drive structural test capacity growth above end-market growth.

COVERAGE › TER



Power & Cooling

Adjacent — not in portfolio

Grid interconnect is the binding constraint by 2027. We monitor VRT, ETN as adjacencies but exclude from this portfolio to maintain thesis purity.

COVERAGE › Watchlist

Five-Pillar Framework

01

Picks-and-shovels exposure

Bottleneck businesses scale with every new datacenter built but trade at 30–40% discount to compute names (NVDA, AVGO). Asymmetric risk/reward.

02

Capital-intensive moats

HDD, NAND, optical and test require multi-billion dollar capex programmes and decades of process IP. New entrants face structural barriers.

03

Supply-discipline pricing

Post-2022 consolidation (WDC/STX in HDD, Micron/Hynix/SNDK in NAND) has restored pricing power. ASP cycle now structurally higher.

04

Earnings revision cycle

Consensus EPS for AI infra still 15–25% below our base case for FY26. Revisions cycle is in early-mid innings, typically a 12–18 month tailwind.

05

Valuation reasonableness

Portfolio trades at 8.6× EV/EBITDA FY26E vs. NVDA 28× and broad semi index 18×. Multiple expansion is a third source of return alongside earnings + dividends.

Coverage Universe at a Glance

WDC

Western Digital

BUY

Cloud HDD (post-NAND spin)

Price	Target
\$401	\$475
Upside	Weight
+18%	25%
KEY RISK	
Cyclical pricing reversal, hyperscaler capex pause	

STX

Seagate Technology

BUY

Mass-capacity HDD / HAMR

Price	Target
\$587	\$680
Upside	Weight
+16%	25%
KEY RISK	
HAMR technology execution, customer concentration (top-3 hyperscalers >50%)	

LITE

Lumentum Holdings

BUY

AI optical (800G/1.6T)

Price	Target
\$845	\$980
Upside	Weight
+16%	20%
KEY RISK	
Telecom drag persists; transition execution risk on 1.6T	

TER

Teradyne

BUY

Semi test (HBM / AI ASICs)

Price	Target
\$396	\$440
Upside	Weight
+11%	15%
KEY RISK	
Customer concentration, China revenue exposure ~15%	

SNDK

SanDisk Corp

HOLD

NAND flash pure-play

Price	Target
\$936	\$880
Upside	Weight
-6%	10%
KEY RISK	
Valuation stretched, peak-cycle earnings risk, capex intensity	

CIEN

Ciena Corp

HOLD

Optical network systems

Price	Target
\$509	\$540
Upside	Weight
+6%	5%
KEY RISK	
Service-provider capex visibility, slower-than-expected DCI traction	

WDC • Western Digital Corp.

Last \$401	Target \$475	Upside +18%	Rating BUY	Theme Cloud HDD / AI Storage
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Business Overview

Pure-play HDD manufacturer following the May 2025 spin-off of the NAND business (now SanDisk Corp). Now the second-largest mass-capacity HDD supplier globally, focused on cloud and enterprise tier-2 storage workloads.

Revenue Drivers

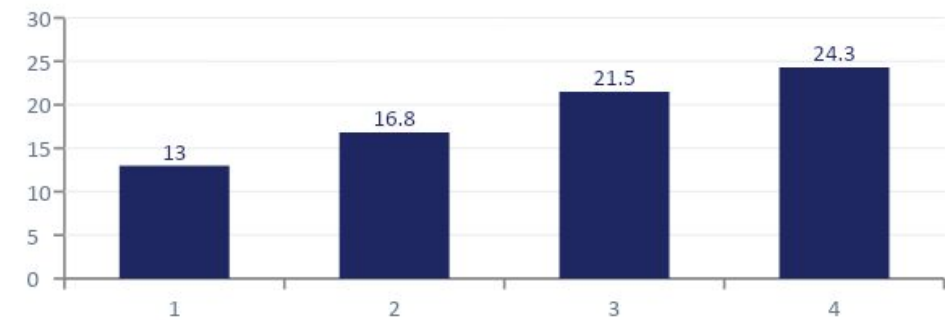
- Cloud HDD: 89% of pro-forma revenue; hyperscaler nearline demand inflecting
- ASP uplift on 26TB / 32TB UltraSMR drives (mid-teens premium)
- Operating leverage on fixed-cost manufacturing base (~70% incremental margin)

Key Customers

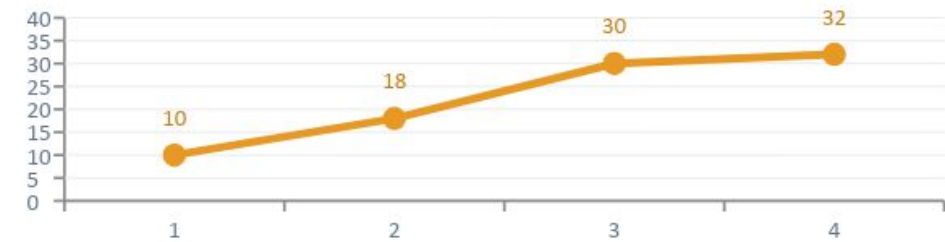
AWS, Microsoft Azure, Google Cloud, Meta, Dell, HPE (top-5 ≈ 55% of revenue)

BULL CASE Hyperscaler HDD demand re-acceleration, lean post-spin OPEX, margin re-rating to STX-like levels	BEAR CASE Hyperscaler digestion phase, share loss to QLC NAND in nearline workloads
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Revenue Trajectory (USD bn)



EBITDA Margin (%)



Rev growth FY26:	+28%	EBITDA margin:	30%
FCF margin:	18%	ROIC:	19%

STX · Seagate Technology

Last \$587	Target \$680	Upside +16%	Rating BUY	Theme Mass-Capacity HDD / HAMR
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Business Overview

Global HDD leader and first-to-market with HAMR (Heat-Assisted Magnetic Recording) technology. Highest exposure in our coverage to hyperscaler nearline drives — 79% of pro-forma revenue from cloud customers.

Revenue Drivers

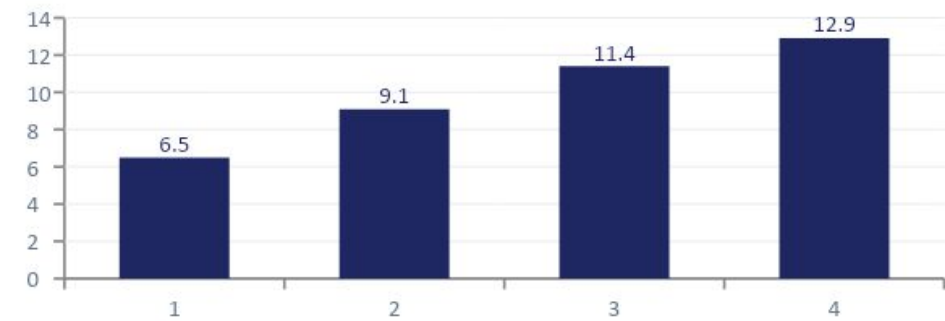
- HAMR adoption: 32TB ramping in 2H26, 40TB qualified 2027
- Best-in-class FCF conversion (105% of net income in FY26E)
- Disciplined capital allocation: USD 2.5bn buyback authorization

Key Customers

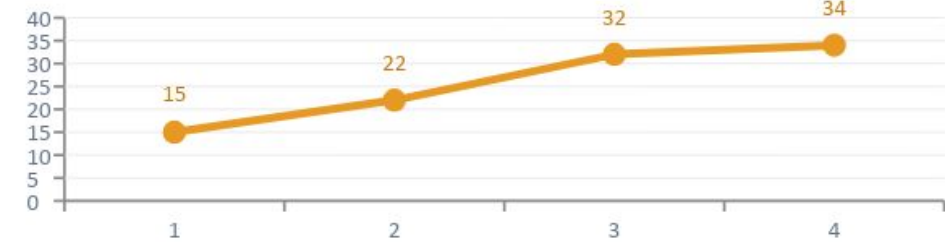
AWS, Microsoft, Google, Alibaba, Tencent (hyperscaler concentration 79%)

BULL CASE HAMR adoption curve, disciplined supply, structural ASP uplift on 30TB+ drives	BEAR CASE NAND/SSD displacement, capacity over-build by competitors
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Revenue Trajectory (USD bn)



EBITDA Margin (%)



Rev growth FY26:	+25%	EBITDA margin:	32%
FCF margin:	22%	ROIC:	22%

LITE • Lumentum Holdings

Last \$845	Target \$980	Upside +16%	Rating BUY	Theme AI Optical / Datacom
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Business Overview

World leader in indium-phosphide EML lasers — the critical light source for AI cluster networking. Cloud Light acquisition (2023) gave Lumentum vertical integration in 400G/800G transceiver assembly.

Revenue Drivers

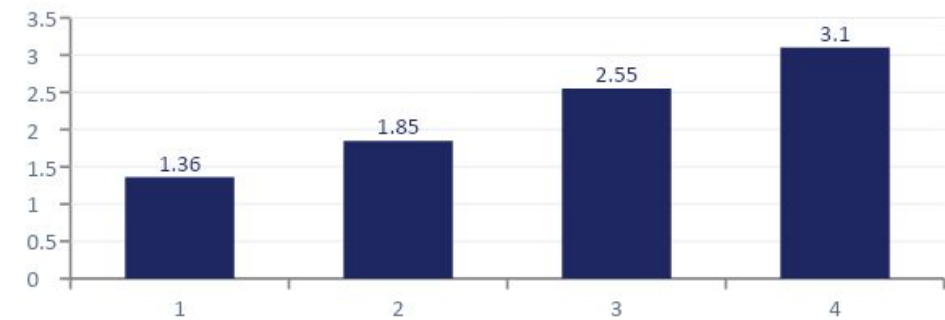
- AI datacom: USD 1.8bn in FY26E, up from USD 950m in FY25
- 1.6T transceivers shipping 2H26 at premium ASPs (~\$8–12k per unit)
- EML supply tight: Lumentum holds ~60% global share

Key Customers

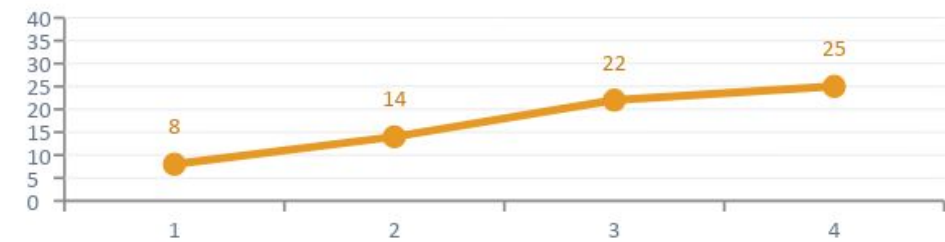
NVIDIA (direct), Coherent, Innolight, hyperscaler in-house assemblies

BULL CASE 800G → 1.6T transceiver cycle, EML laser dominance, Cloud Light acquisition synergies	BEAR CASE Co-packaged optics commoditization, hyperscaler in-housing of optics
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Revenue Trajectory (USD bn)



EBITDA Margin (%)



Rev growth FY26:	+38%	EBITDA margin:	22%
FCF margin:	12%	ROIC:	14%

TER · Teradyne, Inc.

Last \$396	Target \$440	Upside +11%	Rating BUY	Theme Semi Test / HBM
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Business Overview

Leading supplier of automatic test equipment (ATE) for semiconductors. Increasing test intensity for AI accelerators, HBM stacks, and chiplet/CoWoS interconnect drives a structural multi-year tailwind.

Revenue Drivers

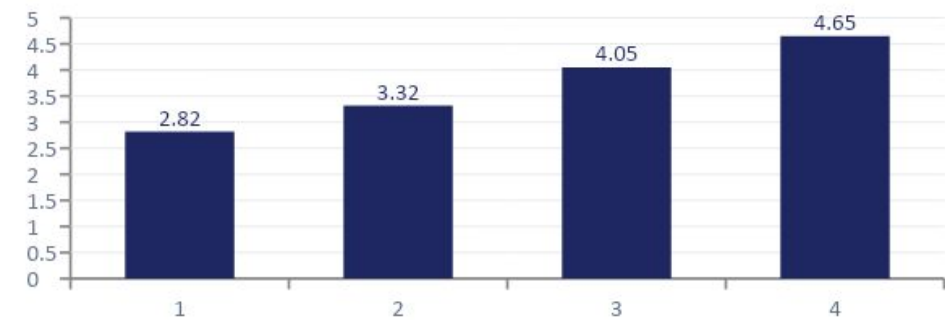
- Compute test segment: USD 1.9bn in FY26E (+38% YoY)
- HBM stacking test: emerging segment, ~USD 400m TAM by 2027
- Best-in-class FCF conversion (~95%), no net debt, USD 1bn buyback

Key Customers

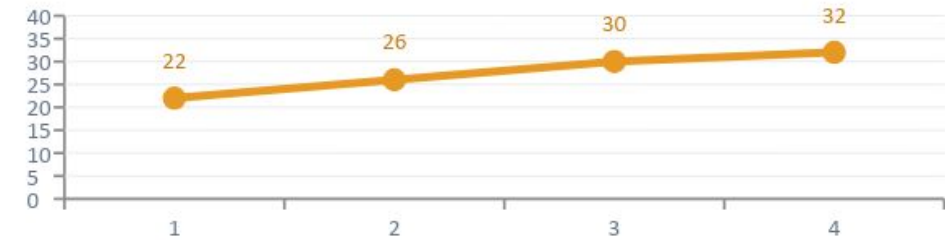
TSMC, Samsung Foundry, NVIDIA, Apple, AMD (Compute > 50% of revenue)

BULL CASE AI test intensity (HBM, chiplet, advanced packaging), structural test-time growth per die	BEAR CASE China/mobile cyclical headwinds; Advantest catches up in HBM share
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Revenue Trajectory (USD bn)



EBITDA Margin (%)



Rev growth FY26:	+22%	EBITDA margin:	30%
FCF margin:	25%	ROIC:	28%

SNDK · SanDisk Corp.

Last \$936	Target \$880	Upside -6%	Rating HOLD	Theme NAND Flash
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Business Overview

Pure-play NAND manufacturer (since May 2025 WDC spin-off). Joint venture with Kioxia on the BiCS 3D NAND platform. AI inference workloads driving QLC NAND demand for warm storage tiers.

Revenue Drivers

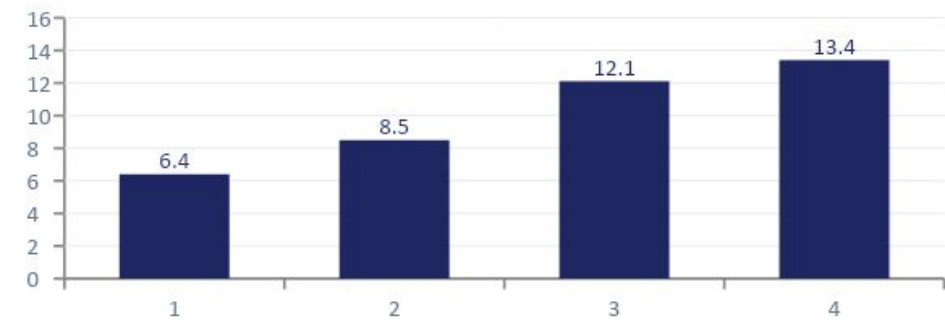
- NAND contract pricing: +70% QoQ in 1H26
- Enterprise SSD mix shift: 38% of revenue, up from 22% in 2024
- QLC adoption: ~25% bit share by FY27E

Key Customers

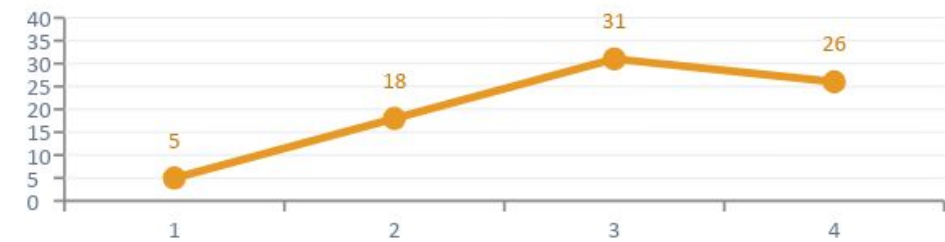
Cloud storage providers, retail OEMs, automotive, mobile (Apple, Samsung)

BULL CASE NAND contract pricing +70% QoQ, AI inference workloads driving QLC adoption	BEAR CASE NAND supercycle peak, Chinese (YMTC) capacity ramp, post-cycle margin compression
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Revenue Trajectory (USD bn)



EBITDA Margin (%)



Rev growth FY26:	+42%	EBITDA margin:	31%
FCF margin:	8%	ROIC:	16%

CIEN • Ciena Corp.

Last \$509	Target \$540	Upside +6%	Rating HOLD	Theme Optical Network Systems
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Business Overview

Leading optical networking systems vendor. Datacenter Interconnect (DCI) and metro/long-haul WaveLogic 6 800ZR shipments are the principal AI-linked growth vector.

Revenue Drivers

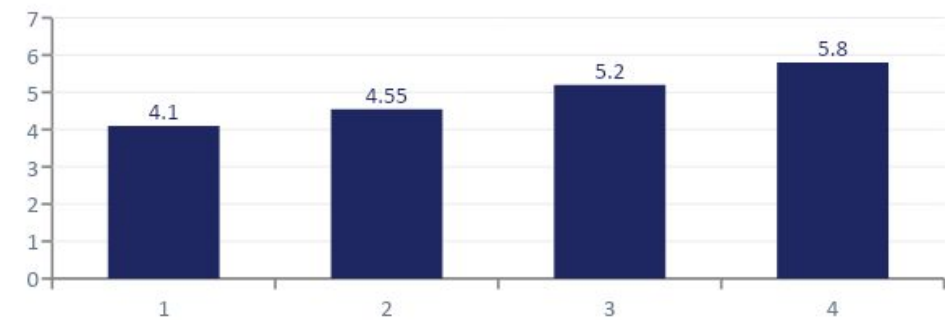
- DCI: 22% of revenue, growing 35%+ YoY in FY26E
- WaveLogic 6 (1.6T per wavelength) shipping in 2H26
- Service provider re-investment cycle confirmed in 2H25 orders

Key Customers

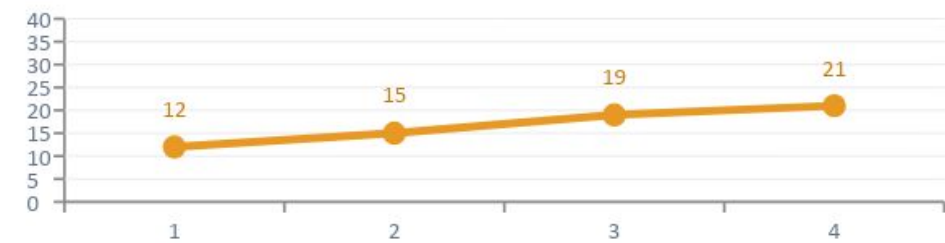
AT&T, Verizon, Deutsche Telekom, hyperscalers (DCI segment)

BULL CASE DCI build-out, WaveLogic 6 ramp, sustained service-provider re-investment	BEAR CASE Lumpy carrier orders, optical pluggable cannibalization risk
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Revenue Trajectory (USD bn)



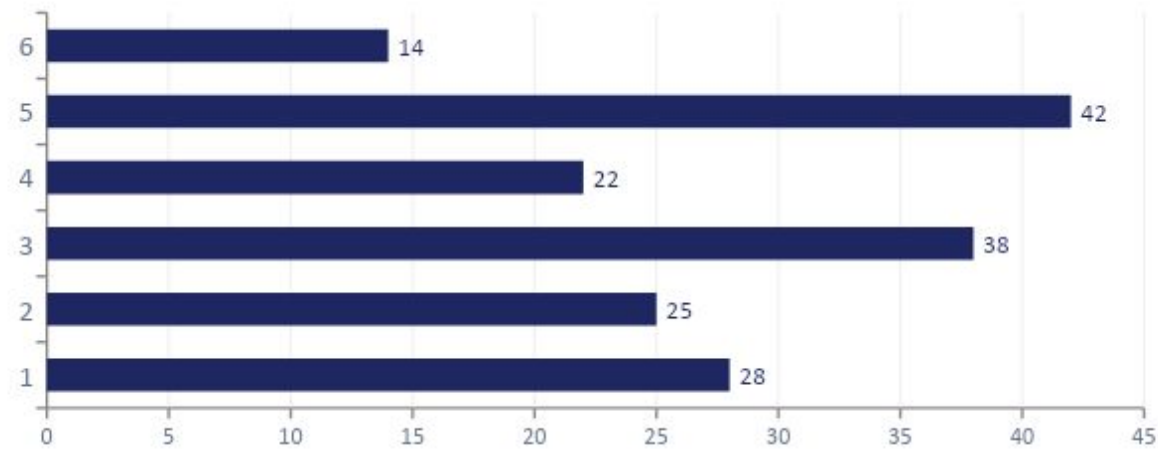
EBITDA Margin (%)



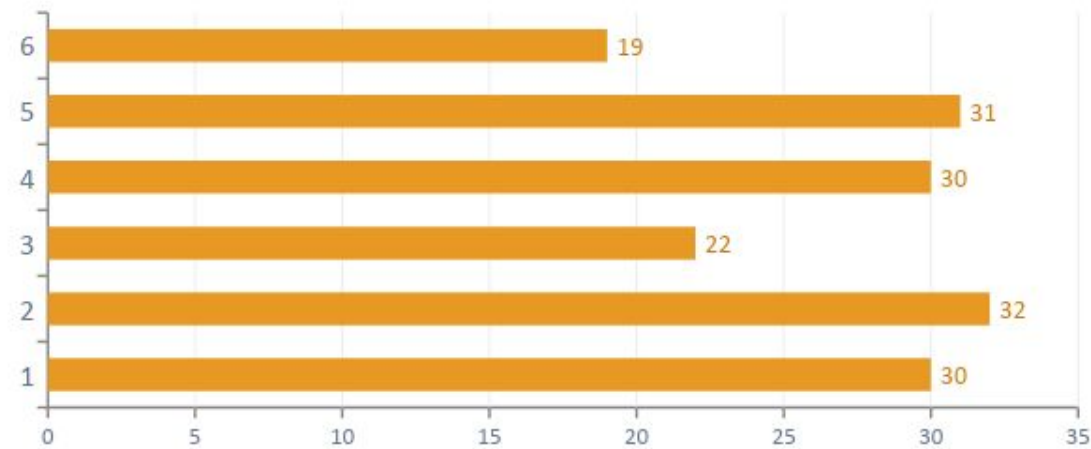
Rev growth FY26:	+14%	EBITDA margin:	19%
FCF margin:	11%	ROIC:	12%

Growth & Margin Benchmarking — FY26E

Revenue Growth FY26E (%)



EBITDA Margin FY26E (%)



ANALYST COMMENTARY

✓ Storage names lead growth.

SNDK (+42%), WDC (+28%), STX (+25%) benefit from the dual tailwind of unit growth and ASP expansion. STX shows the best growth/margin trade-off.

✓ TER offers asset-light quality.

+22% growth at 30% EBITDA margin, 25% FCF margin, ROIC 28% — the highest quality compounder in the basket but the highest valuation.

✓ Optical bifurcates.

LITE +38% (datacom-driven) vs. CIEN +14% (carrier-skewed). LITE is the cleaner AI optical play; CIEN remains a service-provider business.

✓ Watch SNDK margin volatility.

31% EBITDA in FY26E vs. 18% in FY25 — peak-cycle margin is structurally above mid-cycle; underwrite to a normalized 22–25%.

Profitability, Returns & Balance Sheet

Ticker	Rev. Growth FY26E	EBITDA Margin	FCF Margin	ROIC	Net Debt / EBITDA	Capital Intensity
WDC	+28%	30%	18%	19%	1.4×	Mid
STX	+25%	32%	22%	22%	2.0×	Mid-Low
LITE	+38%	22%	12%	14%	0.5×	Moderate
TER	+22%	30%	25%	28%	Net cash	Asset-Light
SNDK	+42%	31%	8%	16%	1.1×	Very High
CIEN	+14%	19%	11%	12%	1.3×	Moderate

Structural Quality Ranking

1.

TER

Highest ROIC (28%), asset-light, net cash. Premium quality.
2.

STX

Best operational leverage in HDD. HAMR-led ASP cycle.
3.

WDC

Post-spin clean story; margin re-rating ongoing.
4.

LITE

Best growth, recovering margins; still in transition.
5.

CIEN

Steady compounder; lower beta on the AI theme.
6.

SNDK

Most cyclical: top decile when up, bottom when down.

Capital Intensity Analysis

NAND is the most capital-intensive node in our universe: SNDK reinvests ~22% of revenue into capex annually. HDD is structurally lower (8–10%) thanks to mature manufacturing base — supportive of FCF re-rating in WDC and STX.

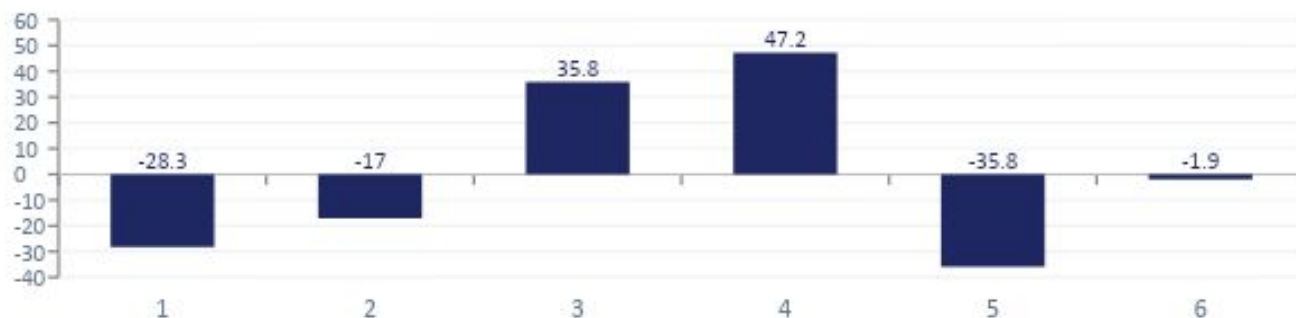
TER's asset-light model (capex ~3% of revenue) is the standout: cash conversion structurally above 90%, balance sheet net cash, generous shareholder returns.

We favour businesses where incremental AI demand drives operating leverage rather than incremental capex requirements: STX > WDC > TER > LITE > CIEN > SNDK.

Trading Comparables — FY26E / FY27E

Ticker	Mkt Cap (bn)	EV/Sales 26E	EV/EBITDA 26E	EV/EBITDA 27E	P/E 26E	P/E 27E	vs. Peer Avg
WDC	39	2.8×	9.5×	8.2×	14.0×	12.3×	-28%
STX	56	3.5×	11.0×	9.5×	15.5×	13.6×	-17%
LITE	19	4.0×	18.0×	15.5×	28.0×	24.6×	+36%
TER	64	5.8×	19.5×	16.8×	27.0×	23.8×	+47%
SNDK	20	2.6×	8.5×	7.3×	12.0×	10.6×	-36%
CIEN	14	2.5×	13.0×	11.2×	21.0×	18.5×	-2%
Coverage Avg	35.3	3.5×	13.3×	11.4×	19.6×	17.2×	—

EV/EBITDA FY26E — Premium / Discount vs Peer Average



VALUATION READ-ACROSS

- SNDK trades at deepest discount (24% below peer avg)
- Justified by cyclicality — multiple discount captures peak-earnings risk
- WDC at 9.5× FY26E — cheapest non-NAND name; supports our BUY
- TER and LITE warrant premiums (quality / growth) — they earn their multiples

DCF Framework & WACC Build

Methodology

- Five-year explicit forecast (FY26E–FY30E), Gordon-growth terminal value
- Unlevered FCF: $EBIT \times (1-t) + D\&A - \Delta WC - Capex$
- Mid-year discounting convention to avoid systematic understatement
- WACC derived bottom-up: $R_f + \beta \times ERP$ for cost of equity; after-tax marginal cost of debt
- Terminal growth bounded at long-run global GDP (2.0–2.5%)
- Sensitivity grid (WACC $\pm$ 100bps, $g \pm$ 50bps) reported alongside base case

WACC Build by Company

Ticker	Rf	β	ERP	Ke	Kd (a/t)	D/V	WACC
WDC	4.3%	1.55	5%	12.1%	5.5%	22%	9.9%
STX	4.3%	1.40	5%	11.3%	5.2%	24%	9.3%
LITE	4.3%	1.65	5%	12.6%	5%	12%	11.4%
TER	4.3%	1.45	5%	11.6%	4.5%	5%	11.1%
SNDK	4.3%	1.85	5%	13.6%	5.8%	20%	11.5%
CIEN	4.3%	1.30	5%	10.8%	5.2%	18%	9.6%

KEY ASSUMPTIONS (BASE CASE)

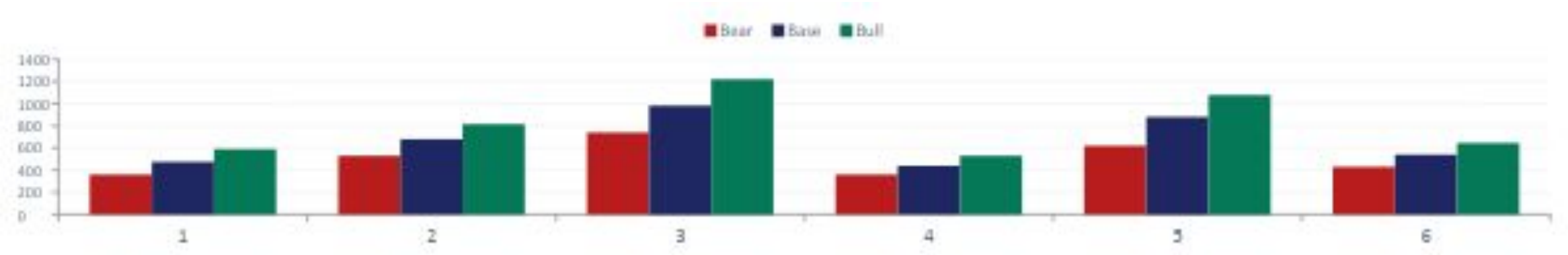
Risk-free rate 4.30% <i>10Y US Treasury, May-26</i>	Equity risk premium 5.00% <i>Damodaran implied ERP</i>	Terminal growth 2.50% <i>Long-run global GDP, capped</i>
Marginal tax rate 21–25% <i>US statutory + state blend</i>	Forecast horizon FY26–FY30E <i>5-year explicit + TV</i>	Mid-cycle margin Tiered <i>Normalized 22–32% EBITDA</i>

DCF Output — Implied Equity Value Bridge

Ticker	PV of FCF (bn)	PV of Terminal (bn)	Enterprise Value	(-) Net Debt	Equity Value	Sh. Out. (m)	Implied Price	Current	Upside
WDC	11.2	38.4	49.6	4.5	45.1	95	\$475	\$401	+18%
STX	14.0	49.3	63.3	5.7	57.6	85	\$678	\$587	+16%
LITE	5.2	17.4	22.6	0.6	22.0	22.5	\$978	\$845	+16%
TER	16.5	55.8	72.3	(1.0)	73.3	167	\$439	\$396	+11%
SNDK	5.4	16.2	21.6	2.6	19.0	21.6	\$880	\$936	-6%
CIEN	3.9	12.4	16.3	1.4	14.9	27.5	\$542	\$509	+6%

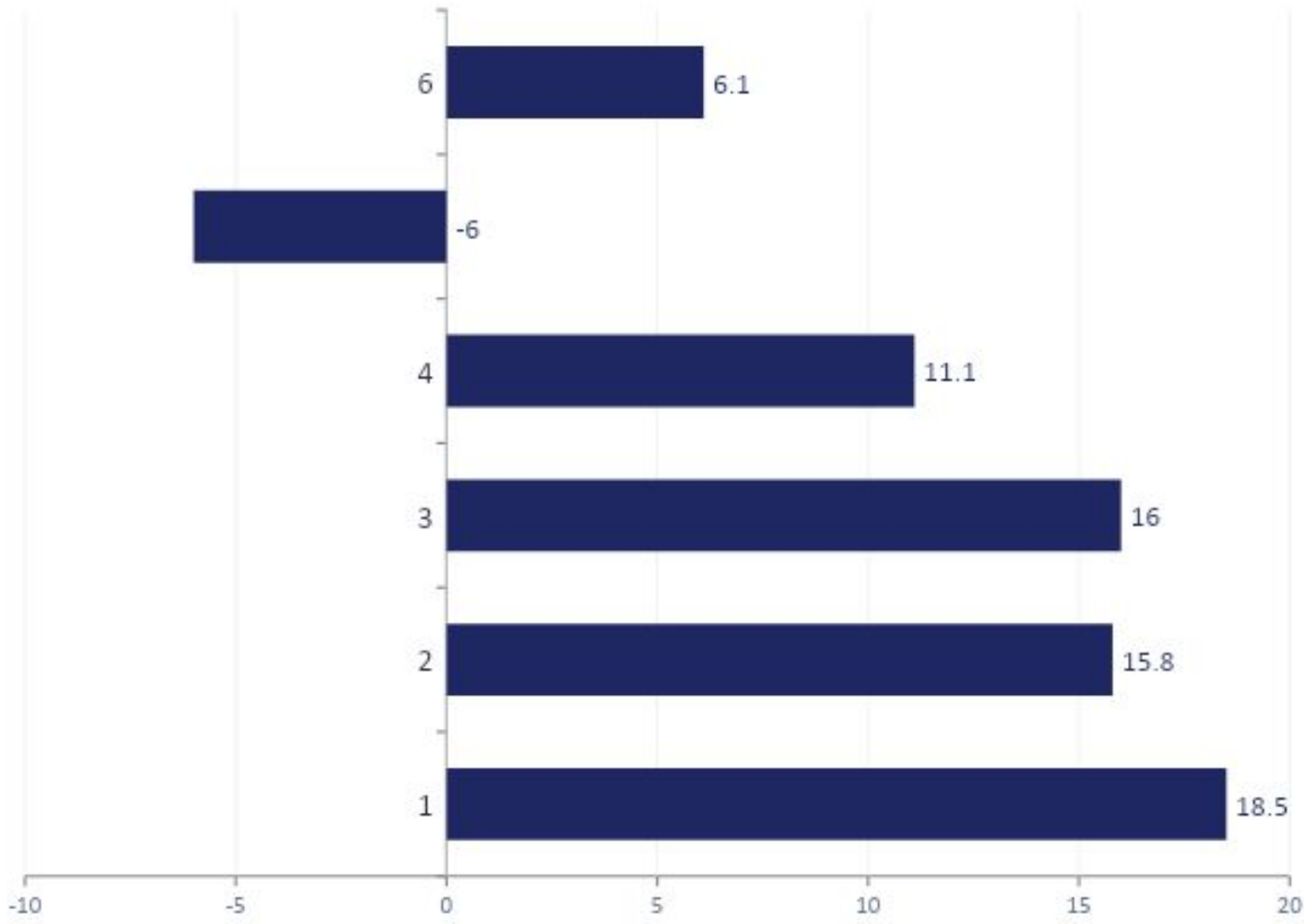
Values in USD bn except per-share data; team estimates. Net debt as of latest reporting; share counts on diluted basis.

Scenario Sensitivity — Implied Price by Case (USD)



Triangulated Upside — DCF vs Comps

Implied Upside to 12-month Target (%)



TARGET PRICE METHODOLOGY

50% DCF · 50% Comps Triangulation

WDC

DCF \$475 · Comps \$470 · TP \$475

STX

DCF \$678 · Comps \$685 · TP \$680

LITE

DCF \$978 · Comps \$985 · TP \$980

TER

DCF \$439 · Comps \$441 · TP \$440

SNDK

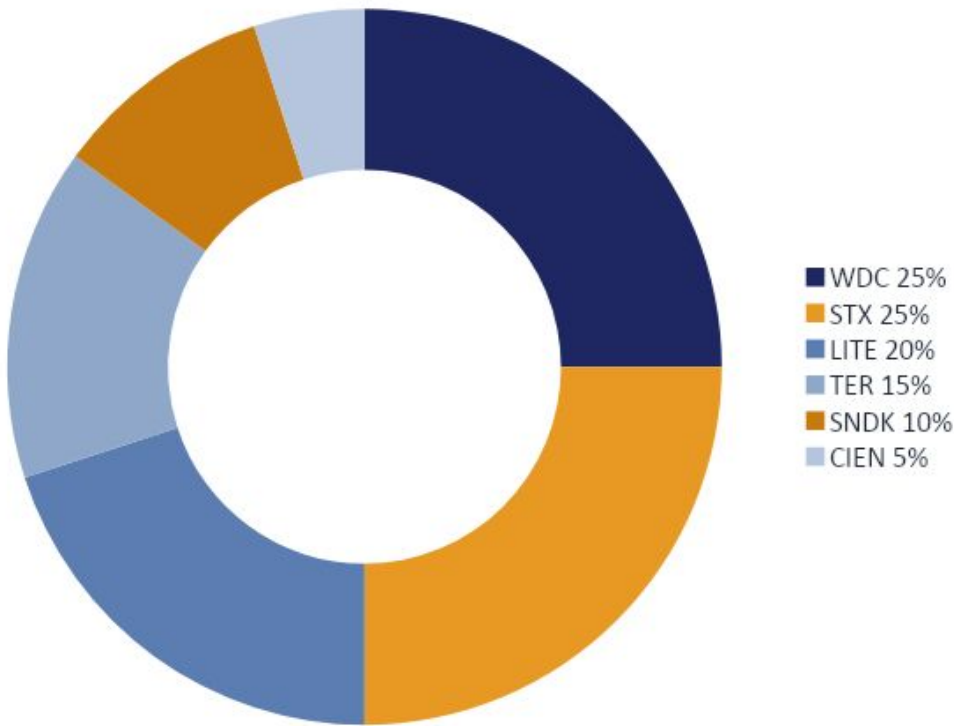
DCF \$880 · Comps \$890 · TP \$880

CIEN

DCF \$542 · Comps \$540 · TP \$540

Position Sizing & Risk-Adjusted Allocation

Allocation — by Weight



Sizing Framework

Ticker	Weight	Conviction	Beta	Risk Contribution	Rationale
WDC	25%	High	1.55	31%	Highest conviction; cleanest post-spin story
STX	25%	High	1.40	27%	HAMR-led re-rating; best FCF in basket
LITE	20%	High	1.65	23%	Best growth profile; AI-optical tier-1
TER	15%	Med-High	1.45	11%	Quality compounder; size-capped on valuation
SNDK	10%	Medium	1.85	7%	HOLD: included for cycle exposure, sized down
CIEN	5%	Med-Low	1.30	1%	HOLD: lower-beta hedge within AI optical

1.55

Portfolio Beta

11.4×

Weighted EV/EBITDA 26E

+28%

Weighted Rev. Growth 26E

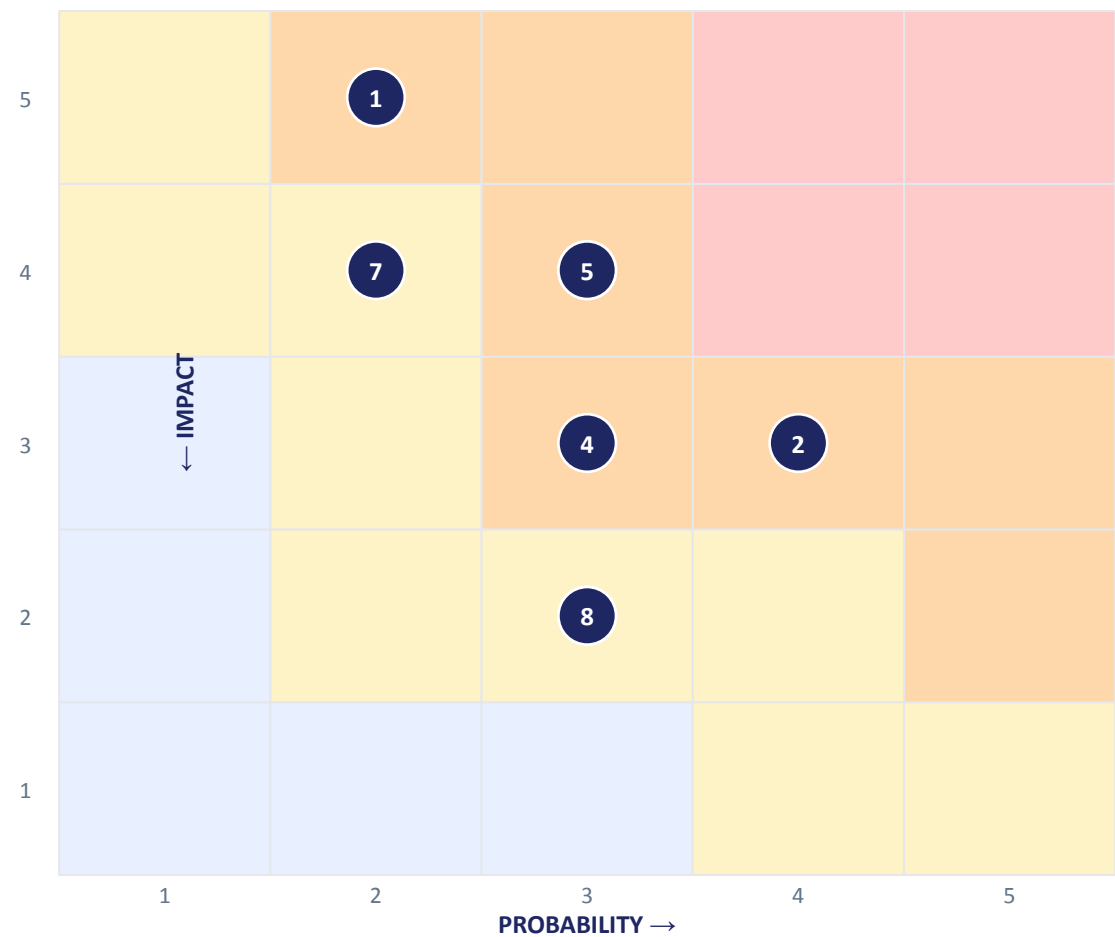
+13%

Implied 12m Return

\$198K

Capital Deployed

Risk Matrix — Impact vs Probability



Identified Risk Factors

- 1 AI capex slowdown**
Highest impact; mitigated by earnings revision cushion
- 2 Valuation multiple compression**
Most probable; sized SNDK at 10% to manage exposure
- 3 Hyperscaler concentration**
Top-3 hyperscalers = 55% of WDC/STX revenue
- 4 Geopolitical / China exposure**
TER ~15% China exposure; export controls a wildcard
- 5 Semi cyclical**
SNDK most cyclical; STX/WDC also peak-cycle margin risk
- 6 Interest rate sensitivity**
Long-duration assets; rate cuts already discounted
- 7 Supply chain (TSMC, Korea)**
LITE/TER exposed; multi-source qualification underway
- 8 Currency (USD strength)**
70%+ portfolio in USD-reporting names; FX P&L minor

Sector $\neq$ Factor Diversification

The Honest Risk Disclosure

Owning six different stocks across four sub-segments looks diversified. It is not. All six names share the same dominant factor exposure — hyperscaler AI capex — so they will rise together, and they will fall together. We disclose this explicitly rather than rationalize it.

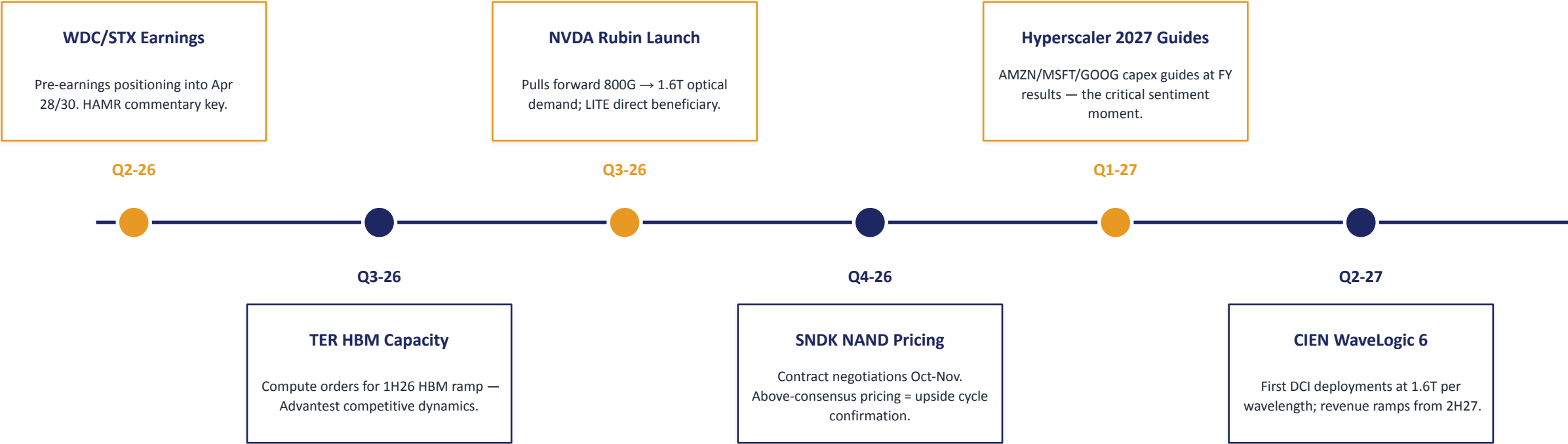
SECTOR DIVERSIFICATION (what we did)

- Holdings across 4 sub-segments (HDD, NAND, optical, test)
- 6 names rather than 1 single bet — idiosyncratic risk reduced
- Correctly mitigates: single-name accounting, lawsuit, management risk
- Does NOT mitigate: AI capex slowdown, rate shock, sector rotation
- Pairwise stock correlations in the portfolio: 0.65–0.85
- Effective independent positions: closer to 2 than to 6

FACTOR DIVERSIFICATION (what would be needed)

- Diversification across independent return drivers
- Mix of cyclicals + defensives (staples, healthcare, utilities)
- Mix of growth + value style factors
- Mix of geographic exposures (US / EU / EM)
- Optional overlay: long-volatility or rates hedge
- Would reduce expected return but improve Sharpe materially

12-Month Catalyst Calendar



DENSE 12-MONTH CATALYST PATH | positioning into Q2 earnings season > Q3 product cycle (Rubin, HAMR) > 2027 capex guides — the binary moment

Final Ratings & Target Prices

Ticker	Company	Rating	Current	Target	Upside	Key Catalyst	Principal Risk
WDC	Western Digital	BUY	\$401	\$475	+18.5%	Apr-26 earnings + HAMR rollout commentary	Cyclical reversal in HDD pricing
STX	Seagate Technology	BUY	\$587	\$680	+15.8%	32TB HAMR ramp Q3-26	HAMR execution slip
LITE	Lumentum Holdings	BUY	\$845	\$980	+16.0%	1.6T transceiver volume in 2H-26	Co-packaged optics commoditization
TER	Teradyne	BUY	\$396	\$440	+11.1%	AI compute test orders Q3-26	China exposure / Advantest
SNDK	SanDisk Corp	HOLD	\$936	\$880	-6.0%	Q4-26 NAND contract pricing	NAND supercycle peak
CIEN	Ciena Corp	HOLD	\$509	\$540	+6.1%	DCI orders inflection Q2-26	Service-provider capex volatility

Conviction Ladder

TOP PICKS	HIGH CONVICTION	QUALITY ANCHOR	TACTICAL EXPOSURE
WDC · STX Highest conviction. 25% weight each. Strongest earnings revision setup.	LITE Best growth profile. 20% weight. Manage execution risk on 1.6T ramp.	TER Asset-light compounder. 15% weight, size-capped on valuation discipline.	SNDK · CIEN HOLDS. Sized small to express cycle exposure without overpaying.

Synthesis & Key Debates

01

The thesis is real, but it is consensus.

AI infrastructure is no longer a contrarian view. Our edge is selection within the theme: capital-disciplined incumbents over headline GPU names, where revision cycles still have room to run.

02

Valuation matters again.

We start with HOLDs on SNDK and CIEN despite owning them in the portfolio. Sizing — not exclusion — is the right tool when conviction is high but valuation is full.

03

Diversification was incomplete.

Sector spread is not factor spread. The portfolio carries beta ~ 1.6 and a single dominant factor exposure to hyperscaler capex. We disclose this rather than rationalize it.

Sources, Methodology & Disclaimer

Sources & Data

- Bloomberg Terminal — company financials, consensus estimates, share prices (May 2026)
- Company filings: 10-K, 10-Q, earnings presentations (FY24–FY25)
- Sell-side research: Morgan Stanley, Goldman Sachs, Bernstein, Barclays, BofA, JPM
- Hyperscaler capex: AMZN, MSFT, GOOG, META FY earnings releases
- Damodaran — implied ERP and country risk premia (NYU)
- TrendForce, Gartner, IDC — semi industry data (NAND, HDD, optical TAM)
- MarketWatch / S&P Capital IQ — comparable trading multiples

Methodology Notes

- DCF: 5-year explicit forecast, Gordon-growth TV, mid-year discounting
- WACC: bottom-up, levered β from 5Y weekly regressions vs S&P 500
- Comps: EV/Sales, EV/EBITDA, P/E on FY26/FY27 forward estimates
- Target price: 50% DCF / 50% peer-relative comps, 12-month horizon
- Recommendation thresholds: BUY > +10%, HOLD $\pm 10\%$, SELL < -10%
- Portfolio: long-only, USD-denominated, equal-rebalance assumption
- All financial estimates beyond FY25 are team forecasts

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